

Profit Niti – AI Report (2025-01-01 / 2025-09-30)

Last Month KPI Data (September 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0

1. Big Picture — How the Business Looks Right Now

Your business is a profit powerhouse with exceptional margins, but it's navigating significant cash flow turbulence. For the latest period (April 2025), you generated a stellar net profit of ₹68.64 crore on sales of ₹79.05 crore, translating to a remarkable net profit margin of 86.83%. However, this high profitability is being overshadowed by a sharp decline in sales compared to the previous month (down 40%) and a concerning build-up of inventory, which is now taking nearly 245 days to sell. The business is highly profitable but faces challenges in sales consistency and working capital efficiency.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Your gross margin is an outstanding 89.57% and net profit margin is 86.83% for April 2025, indicating superb control over direct costs and operational efficiency.
- **Strong Debt Management:** You have been consistently reducing your secured borrowings, bringing them down from ₹47.52 crore in Feb to ₹36.81 crore in April, improving your debt-to-equity ratio.
- **High Return on Capital:** The business is generating a phenomenal Return on Capital of 258.05%, meaning you are creating massive profits from the capital invested in the business.

RED FLAG BOX — What Needs Attention

- **Severe Inventory Blockage:** Inventory days have ballooned to 245 days, meaning your stock is stuck for over 8 months. This ties up a massive ₹66.38 crore in working capital.
- **Volatile and Declining Sales:** Monthly sales dropped sharply by 40% from March (₹130.84 crore) to April (₹79.05 crore). This inconsistency needs to be addressed for stable cash flow.
- **Negative Operating Cash Flow:** Despite high profits, your cash flow from operations was negative ₹1,186.22 lakhs in February. The cash conversion cycle is weak, with money stuck in inventory and receivables.

Strategic Advice:

Your immediate priority must be to unlock cash trapped in inventory. Implement aggressive inventory clearance strategies and re-negotiate terms with suppliers to improve payable days. Simultaneously, analyze the reason for the sharp sales drop in April and launch targeted efforts to stabilize monthly revenue, as your profitability model is strong but currently hampered by poor working capital management.